Wholesaling – Crib Sheet

Real estate wholesaling is similar to flipping except that the time frame is much shorter, and no repairs are made to the home before the wholesaler sells it.

A real estate wholesaler contracts with a home seller, markets the home to his/her potential buyers, and then assigns the contract to the buyer.

The wholesaler makes a profit, which is the difference between the contracted price with the seller and the amount paid by the buyer. The goal in real estate wholesaling is to sell the home before the contract with the original seller closes.

The key to wholesaling is to add a contingency to the purchase contract that allows the wholesaler to back out if he is unable to find a buyer before the expected closing date. This limits the wholesaler's risk.

Pros

- A high cash injection and profitable strategy.
- An excellent structure for your "Real Estate Business"
- No capital required
- No Credit Involved - Even with no/bad credit you can participate in these types of real estate transactions.
- Great way to start getting involved in real Estate Investing from a knowledge perspective, but also to accumulate capital for down payments and declare income for when you are ready to actually buy properties to add to your portfolio.

Cons

- Time intensive. You must be driven to get the deals,
- Extensive training required to be able to locate good wholesale properties and negotiate good deals so all parties benefit (the buyer, seller and the wholesaler)
- Need a strong buyers list of qualified buyers and know exactly what they are looking for.
- Need a strong understanding of your numbers
- No Guaranteed Income
- Classified as active income so heavily taxed.